rupees, not backed by gold/silver, had no value of its own. It became necessary to determine the real monetary value of the currency issued and maintain the stability of that value for the currency to continue to function as money.

An era of inflation ensued, starting in the late 1960s. The US had more than twenty-five years of acute inflation until the early 1990s. This phenomenon played out the world over. India also experienced the worst of inflation in the 1970s, 1980s and 1990s. Inflation and the stability of money became a major policy problem.

Runaway inflation caused unprecedented harm to growth and employment. In the 1970s, monetarists reasoned convincingly that stability in the value of money could be achieved by controlling the excessive quantum of money. Inflation targeting became the policy choice globally. India also adopted inflation targeting formally as the monetary policy instrument in 2015. Besides a few other structural factors, monetary management under the inflation-targeting regime ensured containment of the inflation demon in most parts of the world.

In the paper currency era, monetary stability and inflation management are significant policy issues.

Inflation's Negative Impact on Value of Money

For the period 1861–1957, inflation in general was quite low thanks to the gold/silver standard ensuring constrained money supply. The adoption of fiat currency removed the restraint on money supply. Inflation also did not seem to work effectively to create growth and employment. In fact, while inflation raged in the 1970s and 1980s, unemployment also soared. The relationship of unemployment and inflation, which was postulated to be inverse by noted economist Phillips, made famous by the well-known Phillips Curve, proved to be direct. Both the Keynesian model and Phillips Curve lost their justification. For policymakers, the lure of monetary-based